



Income Tax Department

Ministry of Finance, Government of India

Penalty for failure to keep and maintain information and document, etc., in respect of certain transactions.

442. (1) The Assessing Officer or Commissioner (Appeals) may impose a penalty of 2% of the value of each international transaction or specified domestic transaction entered into by a person, if in respect of such transaction he—

- (a) fails to keep and maintain any such information and document as required by section 171(1);
- (b) fails to report such transaction which he is required to do so; or
- (c) maintains or furnishes an incorrect information or document.

(2) The prescribed income-tax authority referred to in section 171(4) may impose a penalty of Rs. 500000 on a person, if he fails to furnish the information and document required under the said section.

